

find that it arises from what may be called an *oversimplification* of Company A's capital structure. Company A's common stock evidently contains the two elements represented by the bonds and stock of Company B. Part of Company A's stock is at bottom equivalent to Company B's bonds and should *in theory* be valued on the same basis, *i.e.*, 4%. The remainder of Company A's stock should then be valued at 12 times earnings. This theoretical reasoning would give us a combined value of \$15,000,000, *i.e.*, an average  $6\frac{2}{3}\%$  basis, for the two components of Company A stock, which, of course, is the same as that of Company B bonds and stock taken together.

But this \$15,000,000 value for Company A stock would not ordinarily be realized *in practice*. The obvious reason is that the common-stock buyer will rarely recognize the existence of a "bond component" in a common-stock issue, and in any event, not wanting such a bond component, he is unwilling to pay extra for it.<sup>1</sup> This fact leads us to an important principle, both for the security buyer and for corporate management, *viz.*:

*The optimum capitalization structure for any enterprise includes senior securities to the extent that they may safely be issued and bought for investment.*

Concretely this means that the capitalization arrangement of Company B is preferable to that of Company A from the stockholder's standpoint, assuming that in both cases the \$6,000,000 bond issue would constitute a sound investment. (This might require, among other things, that the companies show a net working capital of not less than \$6,000,000 in accordance with the stringent tests for sound industrial issues recommended in Chap. 13.) Under such conditions the contribution of the entire capital by the common stockholders may be called an *overconservative* set-up, as it tends generally to make the stockholder's dollar less productive to him than if a reasonable part of the capital were borrowed. An analogous situation holds true in most private businesses, where it is

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<sup>1</sup> See our discussion of American Laundry Machinery Company on pp. 505–507 of the 1934 edition of this work for an illustration of the possible effect of a change of capital structure from an all-stock to a stock-and-bond combination. Actual changes of this kind were made by American Zinc (through a dividend in preferred stock in 1916) and by Maytag Company through similar distributions in 1928. The usual method of introducing a speculative capitalization structure into a company with a conservative set-up is through formation of a holding company that issues its own senior securities and common stock against acquisition of the operating company's common. *Examples*: Chesapeake Corporation in 1927, Kaufmann Department Stores Securities Corporation in 1925.